

Profit Pool

GLOSSARY 03 - SHEET 7 / 8

The total profit earned across all activities in a value chain, mapped by segment

PROFESSIONAL DEFINITION

A profit pool is the total profit earned at all points along the value chain of an industry, disaggregated by activity or segment and displayed against the revenue share of each, so that the concentration of profit becomes visible independently of the concentration of revenue. Profit pools are frequently distributed very differently from revenue pools, and they reallocate over time as technology alters which activity is scarce (Gadiesh and Gilbert, 1998).

WHO DEFINED IT ORIGINALLY

Orit Gadiesh and James L. Gilbert of Bain & Company introduced profit-pool mapping in two Harvard Business Review articles in 1998. The method builds on Porter's (1985) value chain and connects to Slywotzky's (1996) contemporaneous work on value migration, with which it is frequently combined.

WHY THIS DEFINITION WAS DEVELOPED

Firms were pursuing revenue share in segments that generated little profit, because revenue was easy to measure and profit by activity was not. Mapping the pool made the misallocation visible, and revealed the recurring pattern in which the largest revenue segment is not the largest profit segment.

FIGURE 1 - PROFIT DOES NOT FOLLOW REVENUE

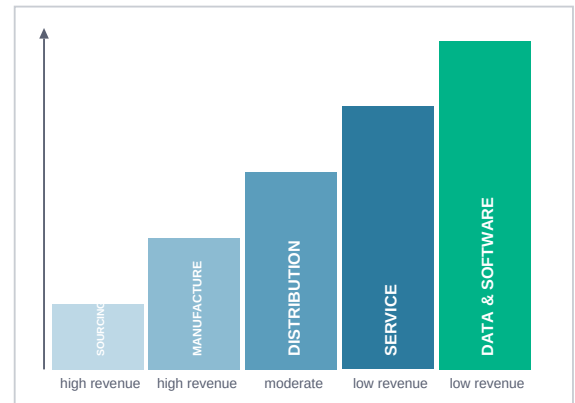


Figure 1. Bar height represents profit; the labels beneath represent revenue share. The characteristic finding is an inverse relationship at one or both ends of the chain, and AI typically shifts profit rightwards toward whichever activity has become the new bottleneck (after Gadiesh and Gilbert, 1998).

HOW IT IS USED

Define the chain's boundaries, estimate revenue and operating margin for each activity, plot margin against revenue share, and identify which activity a new technology is likely to make scarce - because scarcity, not volume, determines where profit settles.

WHEN IT IS USED

In annual strategic review, when an AI capability changes which activity in the chain is scarce, at entry or exit decisions, and when profitability falls while revenue holds.

BY WHOM IT IS USED

Corporate strategy teams, business unit leaders assessing where to compete, investment committees judging vertical moves, and boards examining margin erosion.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

The value chain decomposed activities and located cost, but it did not attach profit to each activity or compare across competitors within the chain. Profit-pool mapping supplies that quantification and makes the reallocation dynamic visible over time. In the AI context this is directly consequential: where a model automates a previously scarce human activity, profit does not disappear but moves to whichever adjacent activity has become the new bottleneck.

RELATED DEFINITIONS IN THIS COURSE

[Value Migration - Unit 1](#)
[Competitive Advantage - Unit 3](#)
[Scalable AI Business Model - Unit 3](#)
[Business Model Innovation - Unit 1](#)
[Labour Market Displacement - Unit 5](#)

SOURCES (HARVARD REFERENCING STYLE)

Gadiesh, O. and Gilbert, J.L. (1998) 'Profit pools: a fresh look at strategy', Harvard Business Review, 76(3), pp. 139-147.

Gadiesh, O. and Gilbert, J.L. (1998) 'How to map your industry's profit pool', Harvard Business Review, 76(3), pp. 149-162.

Porter, M.E. (1985) Competitive Advantage: Creating and Sustaining Superior Performance. New York: Free Press.

Slywotzky, A.J. (1996) Value Migration: How to Think Several Moves Ahead of the Competition. Boston, MA: Harvard Business School Press.